

First, we will go back to the canvas where we had listed down all the tax benefits that apply to us and we might be in a position to take advantage of. Next, we will create a list of expenses that we are already incurring and are eligible for deduction under Section 80C. For instance, we might be paying child's education fees, home loan principal repayment, or life insurance premium.

We will claim all these for deduction under Section 80C and will have used a portion of Rs. 1.5 lac deduction that is allowed to us. Let us say, all the above expenses amounted to Rs. 60,000. So, we have Rs. 90,000 left that we need to plan for and seek deduction for. For this, we will invest in different tax saving assets.



Expenses Eligible for 80C Deduction



Child's tuition fees



Home loan principal repayment



Life insurance premium

